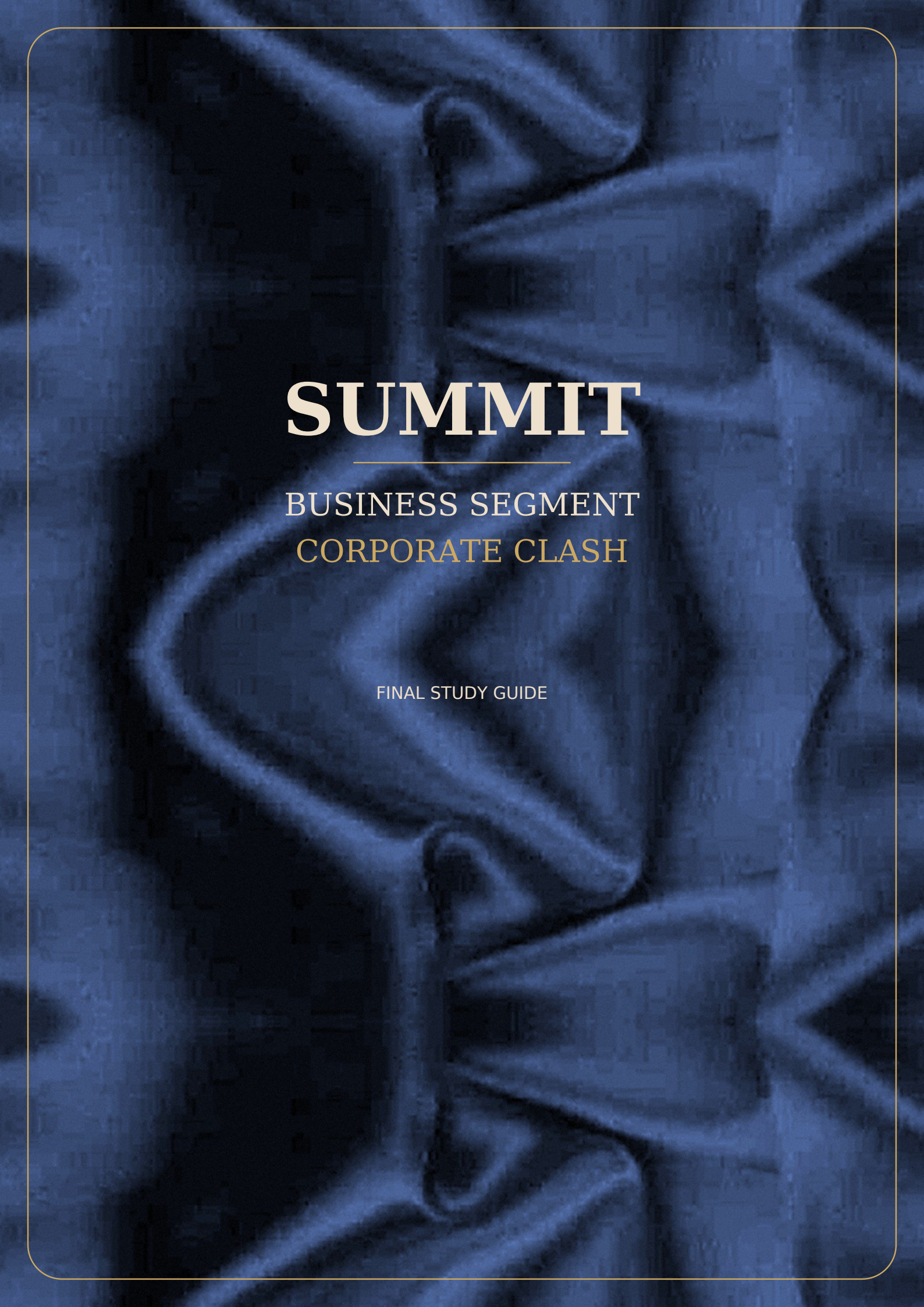


# SUMMIT

## BUSINESS SEGMENT
## CORPORATE CLASH

FINAL STUDY GUIDE

# INTRODUCTION

- Corporate Clash is the flagship business competition hosted by the Business Society. Designed to bridge the gap between classroom learning and practical exposure, this competition engages students in real-world business scenarios, financial decision-making, market adaptability, and crisis management under time pressure.

# CATEGORY OVERVIEW

## ROUND 1: PROFIT OR PERISH

### STARTUP BUDGETING & MARKET SHOCK

- Teams receive a fictional startup with a limited budget, defined target audience, and operational challenges. Teams must allocate funds across staffing, production, marketing, and expansion.
- Midway through the round, an unexpected Market Shock Card (such as raw material inflation or competitor undercutting) requires an immediate financial pivot and presentation to judges.

## ROUND 2: REPUTATION RESCUE

### PR CRISIS & PRESS CONFERENCE

- Qualifying teams face a major public relations crisis caused by product failure, an offensive advertisement, or a viral customer complaint.
- Judges act as journalists and dissatisfied customers. Teams must deliver an empathetic recovery plan, handle hostile questioning, and adapt live to emerging news twists.

# STUDY CONTENT

## 1. ROUND 1 STUDY TOPICS

### STARTUP MANAGEMENT & BUDGETING

- **Capital & Resource Allocation**
  Distributing limited funds across staffing, production, marketing, and expansion without overspending.
- **Fixed vs. Variable Costs**
  Differentiating fixed overheads (rent, salaries) from variable operational costs (raw materials, packaging).
- **Profit & Emergency Reserve Buffer**
  Retaining a 10%–15% cash safety cushion for market shocks and maintaining positive net profit (Profit = Total Sales − Total Costs).
- **Marketing Mix (4 Ps) & Competitors**
  Positioning Product, Price, Place, and Promotion to target audiences while avoiding damaging price wars by building unique value.

## 2. ROUND 2 STUDY TOPICS

### CRISIS CONTROL & REPUTATION

- **Stakeholder Management**
  Balancing priorities between internal owners/staff and external customers, media, and public groups.
- **The A.C.T. Crisis Response Framework**
  - **Acknowledge & Apologize**
    Taking direct responsibility sincerely without making excuses or shifting blame.
  - **Correct the Mistake**
    Announcing immediate fixes (recalls, refunds, campaign withdrawals).
  - **Trust & Prevent**
    Implementing long-term safeguards to guarantee future reliability.
- **Press Composure**
  Delivering calm, unified, and persuasive statements during hostile media questioning.

# PRACTICE SCENARIOS

## ROUND 1 PRACTICE CASE STUDIES

### STARTUP BUDGETING & MARKET SHOCK

- **Case Study 1 – Competitor Price War**
  A student-focused snack startup has an initial budget of Rs. 100,000. Midway through operations, a rival brand launches a similar snack at a 25% lower price.

  **TASK**
  Re-allocate your marketing and product budget to highlight your superior ingredients and customer service without dropping prices into an unsustainable price war.

- **Case Study 2 – Raw Material Inflation**
  A local custom apparel startup faces a sudden 20% surge in cotton fabric prices due to supply chain shortages.

  **TASK**
  Use your 10% emergency reserve cash buffer and adjust non-essential expansion plans to absorb the cost increase while keeping your net profit positive.

## ROUND 2 PRACTICE CASE STUDIES

### PR CRISIS & PRESS CONFERENCE

- **Case Study 1 – Offensive Advertisement Backlash**
  A trendy shoe brand releases a promotional video that accidentally sparks cultural insensitivity controversy on social media.

  **TASK**
  Apply the A.C.T. framework to write a 3-sentence public apology, announce the immediate removal of the campaign, and explain new approval policies to journalists.

- **Case Study 2 – Product Failure & Health Report**
  A bottled juice company faces viral customer reports of strange taste and mild allergic reactions due to a packaging batch fault.

  **TASK**
  Lead a live press briefing to announce a full product batch recall, full customer refunds, and an independent quality audit to restore public trust.